

SELL SIDE EQUITY REPORT

Arista Networks Incorporation
(NYSE: ANET)

Price: **\$86.52 (May 11, 2025)**
Rating: **BUY**
Target Price: **\$135.66**



Earnings Call

Most recent earnings call: May 6,2025
Next earnings call: July 29,2025

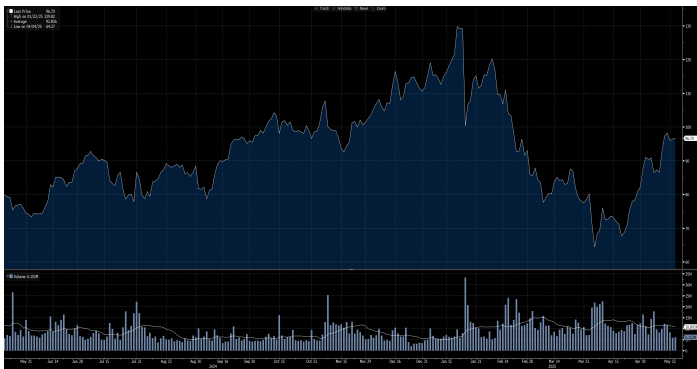
Valuation & Financial Metrics

Sector	Tech-Hardware &Semiconductor
Industry	Data-Networking Equipment
Market Cap	\$121,447.6M
52 Week Range	\$59.43 – \$133.58
ROIC	29.67
Price/Earnings	41.9
Beta	1.71
Price/Book	12.01
Price/Sales	16.4
Dividend Yield	N.A.
Projected Upside	57%
1 Year Return	20.5%
3 Year Return	267.3%

DuPont Analysis

Tax Burden	87.35
Interest Burden	100.00
Operating Margin	46.62
Asset Turnover	0.58
Leverage Ratio	1.39
Adjusted ROE	30.06

Price Movement



Company Overview

Arista Networks, Inc. (NYSE: ANET), based in Santa Clara, California and founded in 2004, is a leading provider of cloud-native, high-speed networking solutions for data centres, AI clusters, and enterprise infrastructure. Its offerings include advanced Ethernet switching and routing platforms, supported by proprietary software like EOS® and Cloud Vision® for automation and telemetry. The company operates across three strategic areas: high-performance cloud and AI networking, campus and WAN routing, and intelligent software services. Products such as the 800G Etherlink, 7800R4 AI Spine, and 7060 AI Leaf enable low-latency performance in large-scale AI space

Industry Overview

The data networking industry is undergoing a profound transformation, driven by accelerating digital transformation and the widespread adoption of artificial intelligence. Enterprises and hyperscalers are modernizing IT infrastructure to meet growing demands for performance, scalability, and automation. As generative AI and large-scale model training intensify infrastructure requirements, there is a rising need for high-bandwidth, low-latency, and lossless Ethernet connectivity—an area where Arista Networks is leading through its open Ethernet architecture and support for massive GPU interconnects.

The industry is also shifting away from legacy, hardware-centric systems toward disaggregated, merchant-silicon-based platforms and programmable software. Arista’s EOS® operating system embodies this shift, enabling cost efficiency, operational agility, and rapid scaling. The data networking market is projected to reach \$70 billion by 2028, fueled by the expansion of AI clusters, hybrid cloud deployments, and increased demand for network security and observability. Despite intense competition from Cisco, Juniper, and Nvidia, Arista differentiates itself through its open, cloud-native architecture and deep integration with leading AI hyperscale’s like Microsoft and Meta.

As AI workloads scale at hyper speed, demand for high-performance, low-latency Ethernet infrastructure has surged. Arista Networks, with its open, programmable platforms and deeply embedded hyperscale relationships, is strategically positioned to be the backbone of AI-native infrastructure. More than just a hardware vendor, Arista delivers integrated software-defined networking, enterprise security, and cloud-native observability — a full-stack solution set.

1. Arista's Competitive Edge

While Cisco dominates traditional enterprise networking and Nvidia leads in GPU compute, Arista commands the AI Ethernet switching layer—a critical, fast-growing segment set to displace proprietary technologies like InfiniBand by 2026. Its EOS (Extensible Operating System) provides a unique software foundation enabling deep telemetry, automation, and security integration — particularly valuable in hyperscale and AI-centric environments. In data center switching, Arista now holds a greater market share than Cisco among hyperscale's and is expanding into Tier-2 cloud and enterprise clients. It continues to outperform competitors like Juniper and white-box vendors in AI-data routing, spine-leaf designs, and modular service flexibility.

2. Cybersecurity & ESG (Social Pillar)

Arista's strong focus on cybersecurity reinforces the 'S' in ESG by supporting secure, scalable, and resilient networks. Solutions like DANZ Monitoring Fabric (DMF) provide deep visibility across hybrid and multicloud environments, enabling threat detection and compliance. Arista Guardian for Network Identity uses AI and telemetry to enforce behavioral access controls and detect anomalies at both device and user levels. The company designs its AI systems with privacy and compliance in mind and acknowledges potential regulatory risks around AI ethics and transparency. While Arista has faced no major ESG controversies, it does face moderate scrutiny related to customer concentration and the ethical use of AI in defense and cloud sectors.

3. Infrastructure Scale and Depth of Services

Arista is more than hardware — it's a full-stack networking ecosystem: EOS & CloudVision: Real-time, programmable OS with abstraction layers for multicloud and campus-wide orchestration. Cognitive Campus & WAN: Unified wired/wireless edge and encrypted WAN systems. Service Suite (A-Care): Global, responsive customer support with SLA customization, over 200 logistics nodes worldwide.

4. Competitive Positioning

Arista Networks competes in a dynamic networking market alongside Cisco, Juniper, Nvidia, and white box vendors. Cisco remains strong in enterprise networking with a broad portfolio but is steadily losing ground in hyperscale and AI-native deployments where Arista excels. Juniper holds routing and telco edge strengths but has limited presence in AI cloud switching. Nvidia's InfiniBand delivers top-tier GPU interconnect performance, yet its closed, costly, and less scalable model is less suited for open cloud environments. Meanwhile, white box vendors offer low-cost alternatives for cloud providers but lack software depth, support, and observability. Arista sets itself apart with an open Ethernet architecture, deep programmability, and vendor-agnostic flexibility.

Aha Moment

When most investors think about AI, they focus on chips—Nvidia, AMD, and GPU compute. But here's the overlooked truth: AI doesn't just compute—it communicates. Training a large AI model requires tens of thousands of GPUs, constantly exchanging massive volumes of data. Without a fast, scalable network, even the most advanced GPUs become bottlenecks. This is where Arista Networks comes in.

Arista builds the invisible highways that move AI's data between compute nodes. Its 800G and 1.6T Ethernet switches are designed for AI workloads—reducing latency, boosting bandwidth, and enabling true distributed computing. Unlike Nvidia's proprietary InfiniBand, Arista's open, cloud-native Ethernet is being rapidly adopted by Microsoft, Meta, and Oracle to scale from 10K to 100K+ GPU clusters.

Here's the aha: **"If Nvidia is the brain of AI, Arista is the nervous system."**

Nvidia powers the intelligence. Arista makes it flow—powering real-time applications from ChatGPT to self-driving cars. Without Arista, AI doesn't scale. That's why Arista isn't a side player—it's central to the AI infrastructure stack. And for long-term investors, ANET represents a high-conviction bet on the future of AI.

Valuation

Arista Networks (NYSE: ANET) presents a high-conviction opportunity as the networking backbone of AI infrastructure. Using an **EV/EBITDA multiple-based valuation**, it arrives at a **target price of \$135.66**, representing **57% upside** from the current share price of **\$86.52 (as of May 11, 2025)**.

Given Arista's capital efficiency and strong cash flow, EV/EBITDA is the most appropriate valuation approach. For FY2024, Arista reported:

- Revenue: \$3.73B (+19.5% YoY)
- EBITDA: \$1.86B (+30.6%) | EBITDA Margin: ~49.8%

- Net Cash: ~\$8.3B | No debt

Using a 2025E EBITDA of \$2.3B and a justified 30x EV/EBITDA multiple, it derives:

- EV: \$69B → Equity Value (incl. cash): \$77.3B
- Implied Share Price: \$135.66

Peer Comparison

Company	EV/EBITDA (2025E)	Comment
Arista (ANET)	30.0x (target)	AI-native Ethernet leader, strong FCF
Cisco (CSCO)	~11.5x	Legacy enterprise, slowing growth
Juniper (JNPR)	~9.2x	Telco-focused, weak AI traction
Nvidia (NVDA)	~32–35x	High-growth AI, closed ecosystem
Broadcom (AVGO)	~14x	Diverse, chip-heavy exposure

Arista's forward valuation justifies a premium over legacy hardware vendors due to:

- Higher growth rates (Revenue CAGR: 23.8%)
- Superior margins (EBITDA Margin: ~50%)
- Strategic customer base (Microsoft, Meta, Oracle)
- Economic Value Added (EVA) of \$1.29B, with ROIC >25%

Supporting **DCF model** arrives at a base case intrinsic value of \$135–140/share, assuming:

- WACC: 12%
- Perpetuity Growth Rate: 2%
- FCF expansion driven by AI Ethernet and software growth

This provides converging evidence supporting our target from both intrinsic and market-based perspectives.

Strategic Catalysts for Re-rating

- AI Ethernet Scale:** \$1.5B in expected AI revenue by 2025
- Software Leverage:** EOS & CloudVision drive automation and margin gains
- Industry Leadership:** Founding member of Ultra Ethernet Consortium
- Financial Strength:** Cash-rich, zero debt, enabling reinvestment and buybacks

Arista's premium valuation is supported by its growth trajectory, superior economics, and positioning in the AI buildout. Its target price of \$135.66 is based on a 30x EV/EBITDA multiple, reflects 57% upside, making ANET a strong BUY. **Valuation Basis: EV/EBITDA with DCF support.**

Sales (in USD millions)

Year	Q1	Q2	Q3	Q4	FY
2021	667.6	707.3	748.7	824.5	2948.0
y-o-y	27.63%	30.85%	23.66%	27.14%	27.21%
2022	877.1	1051.9	1176.8	1257.6	4381.3
y-o-y	31.38%	48.72%	57.18%	54.71%	48.62%
2023	1351.4	1458.9	1509.5	1540.4	5860.2
y-o-y	54.08%	38.70%	28.27%	20.77%	33.75%
2024	1571.4	1690.4	1810.9	1930.4	7003.1
y-o-y	16.28%	15.87%	19.97%	25.32%	19.50%

EPS diluted (in USD millions)

Year	Q1	Q2	Q3	Q4	FY
2021	1274.0	1275.4	1278.5	1279.0	1277.0
y-o-y	31.21%	34.97%	32.55%	29.87%	31.66%
2022	1278.6	1266.3	1257.6	1260.8	1265.8
y-o-y	49.78%	52.23%	60.85%	80.00%	62.36%
2023	1262.3	1265.9	1270.5	1275.4	1268.5
y-o-y	62.35%	64.89%	52.21%	42.22%	54.10%
2024	1279.5	1279.7	1281.8	1283.4	1281.1
y-o-y	44.20%	34.19%	35.47%	29.17%	35.56%

Risk Factors

Arista Networks operates in a fast-evolving, highly competitive environment. Key risks to its long-term outlook include:

1. Customer Concentration Risk

Over 35% of revenue comes from Microsoft and Meta. Any reduction in their IT spending or shifts in vendor strategy could significantly impact Arista's topline and introduce revenue volatility.

2. AI Infrastructure Demand Uncertainty

While AI is a growth driver, demand for GPU clusters could flatten or be reprioritized, risking overcapacity, delayed deployments, or write-downs.

3. Supply Chain & Component Dependency

Arista relies on suppliers like Broadcom without guaranteed contracts, making it vulnerable to chip shortages, geopolitical tensions (e.g., China-Taiwan), and tariffs on hardware from Mexico and Asia.

4. Competition & Pricing Pressure

Cisco, Juniper, Nvidia, and white box vendors are increasing pressure through bundling, pricing, and enterprise expansion. This could challenge Arista's share in key segments despite its software edge.

5. Cybersecurity & ESG Exposure

Any breach or misuse of AI systems could damage Arista's reputation and trigger regulatory scrutiny, especially given growing ESG concerns around data ethics and transparency.

6. Regulatory & Trade Volatility

Export controls, tariff shifts, and laws like the Uyghur Forced Labor Prevention Act could disrupt Arista's global operations and increase compliance costs.

7. Technological Disruption

Arista must continue innovating in software, silicon integration, and AI-native networking. Failure to adapt to trends like chip-to-chip interconnects or open-source networking could erode its edge.

8. Macroeconomic Sensitivity

Global inflation, rising interest rates, or economic slowdowns could delay enterprise and government network investments, particularly outside hyperscale clients.

Despite Arista's strong position in AI-native networking, its exposure to customer concentration, supply chain fragility, regulatory risks, and macroeconomic headwinds warrants close investor attention.

Porter's 5 Forces

1. Threat of New Entrants: Moderate

The industry is capital-intensive and demands technical expertise. Arista's EOS® software and integration depth create switching costs. However, open-source NOS and white-box adoption, along with hyperscaler in-house designs (e.g., AWS Nitro), lower entry barriers and increase disruption risk.

2. Bargaining Power of Suppliers: Moderate to High

Arista relies heavily on a few vendors like Broadcom for merchant silicon, without long-term supply contracts. This exposes it to chip shortages, pricing pressure, and geopolitical disruptions. Outsourced manufacturing adds further supply chain sensitivity, particularly under shifting trade policies.

3. Bargaining Power of Buyers: High

With Microsoft and Meta making up over 35% of revenue, hyperscalers have significant leverage. While price-sensitive, these clients are deeply integrated into Arista's programmable platform. EOS and CloudVision help reduce churn risk by offering unique performance and observability.

4. Threat of Substitutes: Moderate

Alternatives like Nvidia's InfiniBand and custom switching solutions pose a threat in high-performance AI environments. Yet Ethernet's openness, lower cost, and scalability—areas where Arista leads in 800G and 1.6T—help defend its position.

5. Industry Rivalry: High

Competition is intense, with Cisco, Juniper, Nvidia, and white-box vendors all active. Arista stands out through its software-centric model, hyperscaler traction, and leadership in AI-native Ethernet, helping it gain share in a consolidating market.

Economic Value Added (EVA)

EVA is a key metric that captures a company's ability to generate returns above its cost of capital. It reflects **real economic profit** and is particularly useful in evaluating capital efficiency for high-growth, capital-light businesses like Arista Networks.

- **NOPAT:** \$2,572.16M, **Invested Capital:** \$10,054.45M,
- **ROIC:** 25.58%, **WACC:** 12.73%,
- **EVA:** \$1,291.95M, **EVA Spread:** +12.85%.

Arista's ROIC far exceeds its WACC, generating nearly \$1.3B in economic profit. This strong EVA reflects efficient capital deployment and a durable competitive edge, driven by:

- High-margin software (EOS®)
- Deep integration with hyperscalers (Microsoft, Meta)
- Low capex and a debt-free balance sheet

Arista consistently delivers value beyond capital costs, placing it in the high-growth, value-creator quadrant. Its expanding EVA since FY2020 signals strong reinvestment returns from R&D, software, and AI-focused infrastructure. EVA confirms Arista isn't just growing—it's **creating real, sustainable value**.

Environmental, Social and Social Factors (ESG)

Arista holds an AA ESG rating (MSCI) and a Bloomberg ESG Score of 5.40, placing it above industry average, with particular strength in governance and cybersecurity.

Environmental (E) Score: 3.54 | Moderate Exposure, Responsible Approach

- GHG Intensity: 2.71 tCO₂e per \$M revenue → low carbon footprint

Arista's environmental exposure is low relative to its industry due to its fabless model (outsourced manufacturing) and reliance on merchant silicon partners like Broadcom and Nvidia. Its net-zero commitment and energy-efficient designs contribute positively, though supply chain emissions (Scope 3) are not yet fully addressed.

Social (S) Score: 5.60 → Above average | Strong Cybersecurity Focus & Ethical Risk Management

- Arista Guardian for Network Identity (AGNI): Real-time behavioral access control
- DANZ Monitoring Fabric (DMF): Deep observability, intrusion detection, and compliance visibility
- Zero-trust and AI-driven anomaly detection integrated into EOS

Social risk management is a core part of Arista's value proposition, especially as AI and cloud workloads demand enhanced security, privacy, and data integrity. However, ESG concerns remain around AI bias, customer surveillance use cases, and dependency on a few large hyperscalers, which raises transparency questions for broader ESG stakeholders.

Governance (G) Score: 6.05 → Leading among peers | Transparent and Stable

- CEO Compensation & Shareholder Alignment: Disclosed, performance-linked

Arista exhibits strong governance with full board independence, well-defined shareholder voting policies, and transparent compensation structures. Recent changes reflect a focus on stability and risk oversight without evidence of executive overconcentration or conflicts.

Arista's ESG performance enhances its attractiveness to long-term investors. It demonstrates leadership in cybersecurity, governance, and environmental responsibility, while its social focus on secure, AI-ready networking aligns with future-facing ESG mandates.

ESG factors are a net positive for ANET's investment case, with strengths in governance and cybersecurity providing long-term sustainability and reputational protection.

**ESG Score are derived from Bloomberg*